

D560

Internal Auditing I

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A manufacturer's board asks internal audit to help design a new expense-approval workflow, while the team also plans its annual assurance review of payables. The company recently expanded into Canada. How should internal audit treat the workflow request?

- A. Treat it as assurance and issue an opinion on the design.
- B. Decline, since internal audit may only provide assurance.
- C. Take ownership of the workflow and approve expenses going forward.
- D. As a consulting engagement: advise on the design, leave decisions and ownership to management, and manage any objectivity effect on later assurance work.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

The chief audit executive at a regional bank reports all audit results only to the CFO, who also sets the CAE's pay and approves the audit plan. The bank recently won a customer service award. What is the main problem?

- A. Organizational independence is weak; the CAE should report functionally to the board or audit committee.
- B. There is no problem, since the CFO is senior enough.
- C. Individual auditors lack objectivity.
- D. The CAE should report to the external auditor instead.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

An internal auditor who managed accounts payable until four months ago is assigned to audit accounts payable. What is impaired, and what should be done?

- A. The audit function's organizational independence.
- B. Her individual objectivity; assign a different auditor.
- C. Nothing; her knowledge of the area makes her the best choice.
- D. Nothing, as long as she mentions it in the final report.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

At an insurer, the claims department designs and runs its own review of claim payments; a separate compliance team sets policies and monitors claims risk; internal audit gives independent assurance to the board. The insurer is 80 years old and operates in 20 states. Under the Three Lines Model, who owns and manages claims risk?

- A. The compliance team.
- B. The claims department.
- C. The board.
- D. Internal audit.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

In the Three Lines Model, which role provides independent, objective assurance to the governing body?

- A. Internal audit.
- B. The risk management function.
- C. Operating management.
- D. The external auditor, as the fourth line.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A retailer rates the inherent risk of inventory theft at 20 on a 25-point scale. Its controls (cameras, cycle counts and locked cages) are judged to cut that risk by 60%. The retailer's CEO wants theft risk rated as low as possible for the annual report. What is the residual risk score?

- A. 0, since controls are in place.
- B. 20
- C. 12
- D. 8

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A company's ERP system blocks any payment to a vendor that is not in the approved vendor master file. The system went live last year after a two-year project. What type of control is this?

- A. Detective.
- B. Preventive.
- C. Directive.
- D. Corrective.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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8. [TRANSFER — reversed stem / different variable]

Which control is detective rather than preventive?

- A. A monthly bank reconciliation done by someone independent of cash handling.
- B. Training staff on the code of conduct.
- C. Locking an account after three failed login attempts.
- D. Requiring two signatures on checks over \$10,000.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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9.

A company's CEO openly overrides purchasing rules to speed up deals with friends, and staff see no consequences. The company recently upgraded its accounting software, and its reconciliations are timely. Which COSO component is most directly weakened?

- A. Monitoring activities.
- B. Information and communication, given the software upgrade.
- C. Control activities.
- D. Control environment.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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10.

A hospital system buys cyber insurance to cover losses from a ransomware attack. The system has 14 hospitals and a well-regarded IT team. Which risk response is this?

- A. Avoid.
- B. Reduce.
- C. Share (transfer).
- D. Accept.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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11. [TRANSFER — reversed stem / different variable]

A company exits a line of business in a country with high political risk to eliminate that exposure. Which risk response is this?

- A.** Share (transfer).
- B.** Accept.
- C.** Avoid.
- D.** Reduce.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

During a procurement audit at a construction firm, an internal auditor notices many invoices split just under the \$5,000 approval limit. The auditor is new to the team and holds a CPA license. What is the auditor's proper role?

- A.** Conclude fraud has occurred and call the police.
- B.** Ignore it, since fraud detection is solely the external auditor's job.
- C.** Treat the split invoices as a fraud red flag, gather enough evidence to evaluate it, and escalate per policy so a qualified investigation can follow.
- D.** Personally confront the employee and vendor and demand repayment.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A manufacturer's board asks internal audit to help design a new expense-approval workflow, while the team also plans its annual assurance review of payables. ~~The company recently expanded into Canada.~~ How should internal audit treat the workflow request?

Target word: type of engagement **Decides:** A design-advice request is consulting.

A	Confusion set	Helping design something is advice, not independent assurance.
B	Absolute language	Advisory services are part of internal audit's mandate.
C	Adjacent category	Running the process is a management responsibility and impairs objectivity.
D	Correct	Internal audit may consult without assuming management responsibility.

2. Answer A Concept 2

The chief audit executive at a regional bank reports all audit results only to the CFO, who also sets the CAE's pay and approves the audit plan. ~~The bank recently won a customer service award.~~ What is the main problem?

Target word: what is impaired **Decides:** The functional reporting line runs to management.

A	Correct	The board should approve the plan and the CAE's pay and receive results.
B	Dropped element	Drops the need for a functional line to the board.
C	Confusion set	Objectivity is individual; this is an organizational problem.
D	Adjacent category	External auditors are not internal audit's governing body.

3. Answer B Concept 2 · transfer

An internal auditor who managed accounts payable until four months ago is assigned to audit accounts payable. What is impaired, and what should be done?

Target word: individual impairment **Decides:** She would review work she recently ran.

A	Confusion set	Independence concerns reporting lines, not one auditor.
B	Correct	Auditing an area one managed within the past year impairs objectivity.
C	Inverted operation	Familiarity is the source of the impairment.
D	Dropped element	Disclosure alone does not fix assurance over her own work.

4. Answer B Concept 3

At an insurer, the claims department designs and runs its own review of claim payments; a separate compliance team sets policies and monitors claims risk; internal audit gives independent assurance to the board. ~~The insurer is 80 years old and operates in 20 states.~~ Under the Three Lines Model, who owns and manages claims risk?

Target word: risk owner **Decides:** The first line owns operational risk.

A	Adjacent category	Compliance is second line: support and oversight.
B	Correct	Operating management is the first line and owns the risk.
C	Confusion set	The governing body oversees but does not manage daily risk.
D	Inverted operation	Internal audit is the third line and must stay independent of it.

5. Answer A Concept 3 • transfer

In the Three Lines Model, which role provides independent, objective assurance to the governing body?

Target word: name the third line **Decides:** Independent assurance.

A	Correct	Internal audit is the third line.
B	Adjacent category	Second line; it supports management, so it is not independent.
C	Inverted operation	That is the first line, which owns the risk.
D	Confusion set	External providers sit outside the model's lines.

6. Answer D Concept 4

A retailer rates the inherent risk of inventory theft at 20 on a 25-point scale. Its controls (cameras, cycle counts and locked cages) are judged to cut that risk by 60%. ~~The retailer's CEO wants theft risk rated as low as possible for the annual report.~~ What is the residual risk score?

Target word: residual score **Decides:** 40% of the inherent risk remains.

A	Absolute language	Controls reduce risk; they rarely eliminate it.
B	Dropped element	Ignores the controls.
C	Inverted operation	That is the amount removed, not what remains.
D	Correct	$20 \times (1 - 0.60) = 8$.

7. Answer B Concept 5

A company's ERP system blocks any payment to a vendor that is not in the approved vendor master file. ~~The system went live last year after a two-year project.~~ What type of control is this?

Target word: control type **Decides:** It stops the payment before it happens.

A	Inverted operation	Detective controls find problems after they occur.
B	Correct	Blocking the transaction prevents the error.
C	Adjacent category	Directive controls are policies and guidance, not system blocks.
D	Confusion set	Corrective controls fix problems already found.

8. Answer A Concept 5 • transfer

Which control is detective rather than preventive?

Target word: pick the detective control **Decides:** Acts after transactions occur.

A	Correct	It finds errors after the fact.
B	Adjacent category	A directive control.
C	Confusion set	Blocks access before harm occurs.
D	Inverted operation	Stops improper checks before they go out.

9. Answer D Concept 6

A company's CEO openly overrides purchasing rules to speed up deals with friends, and staff see no consequences. ~~The company recently upgraded its accounting software, and its reconciliations are timely.~~ Which COSO component is most directly weakened?

Target word: COSO component **Decides:** Leadership override sets the tone.

A	Confusion set	Monitoring evaluates controls over time; the root issue is tone.
B	Camouflage	The software is fine; the problem is leadership conduct.
C	Adjacent category	The rules exist; leadership's behavior undermines them.
D	Correct	Tone at the top and accountability are the control environment.

10. Answer C Concept 7

A hospital system buys cyber insurance to cover losses from a ransomware attack. ~~The system has 14 hospitals and a well-regarded IT team.~~ Which risk response is this?

Target word: risk response **Decides:** Insurance shifts financial impact to a third party.

A	Adjacent category	Avoidance means exiting the activity.
B	Confusion set	Insurance does not lower the chance of an attack.
C	Correct	Insurance transfers part of the financial loss.
D	Inverted operation	Accepting means taking no action; buying coverage is action.

11. Answer C Concept 7 • transfer

A company exits a line of business in a country with high political risk to eliminate that exposure. Which risk response is this?

Target word: risk response — exit **Decides:** The activity is stopped.

A	Confusion set	Transfer keeps the activity and shifts the loss.
B	Inverted operation	Acceptance keeps the exposure as is.
C	Correct	Exiting removes the exposure entirely.
D	Adjacent category	Reduction keeps the activity with more controls.

12. Answer C Concept 8

During a procurement audit at a construction firm, an internal auditor notices many invoices split just under the \$5,000 approval limit. ~~The auditor is new to the team and holds a CPA license.~~ What is the auditor's proper role?

Target word: auditor's fraud role **Decides:** A fraud red flag has appeared.

A	Absolute language	A red flag is not proof; escalation comes before conclusions.
B	Adjacent category	Internal auditors must evaluate fraud risk and indicators.
C	Correct	Auditors must recognize and escalate indicators; investigation follows established protocols.
D	Confusion set	Confuses the auditor's role with an investigator's or enforcer's.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	10	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	11	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Assurance vs. consulting services	Internal audit provides independent assurance and advisory (consulting) services; in consulting it advises but does not take on management responsibility.	Refusing all consulting, or taking ownership of the process being advised on.	Management asks internal audit to help design or run something.
2	Independence vs. objectivity	Independence is organizational: the chief audit executive reports functionally to the board. Objectivity is individual: auditors should not assess work they were recently responsible for.	Mixing up the two, or thinking disclosure alone fixes an impairment.	A reporting line to management, or an auditor reviewing her former department.
3	The Three Lines Model	First line (operating management) owns and manages risk; second line (risk and compliance) supports and monitors; third line (internal audit) gives independent assurance to the governing body.	Thinking compliance or internal audit owns operational risk.	Several groups touching the same risk area.
4	Inherent vs. residual risk	Inherent risk is risk before controls; residual risk is what remains after controls.	Reporting the reduction as the residual, or assuming controls remove all risk.	A risk score and a percentage reduction from controls.
5	Preventive vs. detective controls	Preventive controls stop errors before they happen; detective controls find them afterward; corrective controls fix them.	Calling a reconciliation preventive or an automated block detective.	Whether the control acts before or after the transaction.
6	COSO internal control components	Control environment, risk assessment, control activities, information and communication, and monitoring; tone at the top is the control environment.	Blaming control activities when leadership overrides the rules.	Leaders ignoring policy without consequence.
7	Risk responses	Avoid (exit the activity), reduce (add controls), share or transfer (insurance, outsourcing), or accept.	Calling insurance a way to reduce risk.	Insurance, exiting a market, adding controls, or doing nothing.
8	Internal audit's fraud role	Management owns fraud prevention; internal auditors must recognize fraud indicators, evaluate them, and escalate, but are not expected to be fraud investigators.	Ignoring red flags or acting as investigator, prosecutor or enforcer.	An auditor spots a pattern such as invoices split below an approval limit.

Course scope (public description): Internal Auditing I provides learners with the basic knowledge and skills necessary to succeed as an entry-level internal audit professional. The course introduces the fundamentals of internal auditing. It covers the importance of value proposition as well as the Institute of Internal Auditor's (IIA) International Professional Practices Framework (IPPF), which provides authoritative guidance for the internal

auditing profession, including the code of ethics and standards. The course will teach students risk management approaches for an organization, and the internal controls related to the internal auditing function. The course concludes with exploring the key elements of governance related to fraud risk management and the controls necessary to detect and prevent fraud. Topics include the foundations of internal auditing, risk management, governance and controls, and fraud. This course aligns with Certified Internal Auditor (CIA) standards. There are no prerequisites for this course.